

A forecast should always try to err on the conservative side. It is wiser to expect and plan for lower returns and then be pleasantly surprised if the forecast is too low rather than relying on a rosy forecast and possibly running out of money later in life. As the saying goes, it is better to be safe than sorry.

While the actual 30-year return on the markets cannot be known, the relationship between risk and return is predictable. Small stocks have more risk than large stocks and should outperform large stocks in the future. Corporate bonds have more risk than Treasury bonds and should outperform Treasury bonds in the future. With the order of investment risks and comparable returns in hand, you can move on to the next step to create an asset allocation that is right for your needs.